CASCADIA ANALYTICS

INVESTMENT SCORECARD

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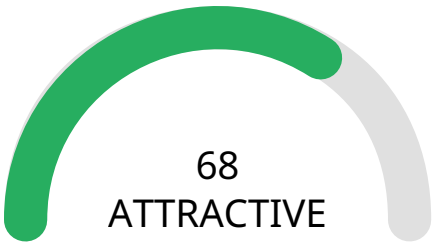
Sea Limited (NYSE)

As-of: 23-Oct-2026 | Latest Filing: Q2 2026 (6-K) | Currency: USD

$74.80 [Mkt 23-Oct-26]

Market Cap: $48.6B [Mkt 23-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 68

Wide-moat ecosystem with a 44.7% group gross margin and a $6.88B net cash position, held back by a group operating margin of only 8.7% in the current reinvestment phase.

2. Recent Trend — 62

Revenue growth re-accelerated to 48.1% in Q2 2026 with GMV up 28.4%, while EBITDA margin compressed and Garena bookings growth normalized to 15.5%.

3. Forward Growth — 70

Shopee guides to around 25% GMV growth for 2026, Monee is compounding at near 60% revenue growth, and Brazil plus monetization depth give a long runway.

4. Valuation — 75

At $74.80 the base case of $79.79 offers 7% upside, and the reverse DCF shows the market pricing in about 9% five-year revenue growth at the bridge-derived mature FCF margin, just below the bear case growth rate, while reported revenue compounds near 40%.

5. Catalysts & Risk — 60

Q3 earnings and Monee listing optionality are live catalysts, balanced against an untested credit book and regulatory breadth across eight-plus markets.

Investment Thesis

- **One ecosystem, three compounding engines:** Shopee commerce, Monee financial services, and Garena gaming share one user base across Southeast Asia, Taiwan, and Brazil. Commerce traffic feeds payments and credit, credit deepens commerce conversion, and Garena cash flow funds the build-out. Q2 2026 showed the flywheel at full speed with group revenue up 48.1% year on year to $7.79B [6-K].
- **Monetization, not just volume:** Core marketplace revenue grew 48.9% in Q2 2026 against GMV growth of 28.4%, which means the take rate is expanding through advertising, logistics, and value-added services rather than relying on order volume alone [6-K].
- **Credit is the swing factor:** Monee loans outstanding reached $11.1B, up 62.5% year on year, with the 90+ day NPL ratio held at 1.0% [6-K]. That book is the largest single source of upside and the largest single source of tail risk in the equity story.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 '26)	$7.79B [6-K]	+48.1% [6-K]	Up
Shopee GMV (Q2 '26)	$38.3B [6-K]	+28.4% [6-K]	Up
Monee Loans Outstanding	$11.1B [6-K]	+62.5% [6-K]	Up
90+ Day NPL Ratio	1.0% [6-K]	Held stable [6-K]	Flat
Garena Bookings (Q2 '26)	$763.5M [6-K]	+15.5% [6-K]	Up
TTM Revenue	$27.72B [20-F/6-K]	FY2025 $22.94B [20-F]	Up
Net Cash	$6.88B [6-K Q2 '26]	Cash and ST investments $9.10B [6-K]	Up

Historical Financial Trend

Metric	2023	2024	2025	TTM	Q2 '26
Revenue	$13.06B [20-F]	$16.82B [20-F]	$22.94B [20-F]	$27.72B [6-K calc]	$7.79B [6-K]
Gross Margin	44.7% [20-F]	42.8% [20-F]	44.7% [20-F]	n/a [n/a]	45.6% [6-K]
Operating Margin	1.7% [20-F]	3.9% [20-F]	8.7% [20-F]	n/a [n/a]	8.4% [6-K]
Net Income (attrib.)	$0.15B [20-F]	$0.44B [20-F]	$1.58B [20-F]	$1.64B [6-K calc]	$0.45B [6-K]
Shopee GMV	n/a [n/a]	$100.5B [20-F]	$127.4B [6-K FY25]	n/a [n/a]	$38.3B [6-K]

Valuation

Absolute (75/10)

Price $74.80 [Mkt 20-Oct-26]
DCF Base $79.79, Blended $84.40 [DCF model]
TTM P/S 1.9x, TTM P/E about 31x on attributable earnings [20-F/6-K]

The reverse DCF prices in a five-year revenue CAGR of about 9% at the base-case mature FCF margin of 9.1% produced by the EBIT bridge, just below the bear-case growth assumption of 10%, while the reported business compounds revenue near 40 to 48% and Shopee GMV grows 28.4%.

Versus Peers (65/8)

Mature free cash flow margins at regional peers frame the normalization debate [Cons]. MercadoLibre converts at roughly 12 to 15% of revenue and Grab at roughly 5 to 8%. Our framework produces a mature FCF margin of 9.1% in the base case and 11.3% in the bull case, below the document-level 15% thesis and below the MELI band, because we take a conservative view of cash conversion through the logistics build. On the cash flow statement definition, Sea converted 19.6% of FY2025 revenue to free cash flow, so the framework framing is the conservative one.

Versus History (70/7)

Sea has traded from a 52-week low of $77.05 to a high of $171.09 [Mkt]. The current price sits near the bottom of that range after a de-rating of the reinvestment phase, despite four consecutive quarters of accelerating reported revenue growth.

Catalyst Timeline

Nov 2026 [6-K]
Q3 2026 Earnings (Two-Sided): The test is whether Shopee take-rate expansion continues while the group EBITDA margin stabilizes after two quarters of reinvestment compression.

2026-2027 [6-K Oct 2026]
Monee Standalone Readiness (Positive): Management flagged in the October 2026 founder letter that Monee is approaching standalone listing readiness, which would surface the value of the credit and payments franchise.

2026-2027 [Cons]
Brazil Shopee Expansion (Two-Sided): Brazil is the largest growth market outside Asia and the most contested, with MercadoLibre defending its home region and fulfillment costs still building.

What Would Change Our Score

Sustained Shopee take-rate expansion with Monee credit costs contained would move the equity toward the bull case. A credit accident in the loan book or a Shopee share loss in core Southeast Asian markets would break the thesis and force a full model reset.

Top Risk Factors (Item 1A)

1. Credit Cycle in the Loan Book: Loans outstanding grew 62.5% year on year to $11.1B. The 90+ day NPL ratio held at 1.0% in benign conditions, and the book has not been tested by a regional downturn. Provisions already scale with growth and would rise sharply if unemployment or FX stress hits Indonesia or Brazil borrowers. [6-K]

2. EBITDA Margin Compression: Group adjusted EBITDA margin compressed to 11.8% in Q2 2026 from 15.8% a year earlier as Shopee reinvested in logistics and marketing. If competitive intensity from TikTok Shop and Temu persists, the margin recovery embedded in the base case arrives later than modeled. [6-K]

3. Competitive Intensity in Commerce: Shopee leads across Southeast Asia, but TikTok Shop is scaling social commerce, Temu is pressing on price, and MercadoLibre defends Latin America. Share defense spending is a recurring claim on the commerce margin pool. [Cons]

4. Garena Single-Franchise Concentration: Garena results still rest heavily on Free Fire. Bookings growth has already normalized from 51.1% in Q3 2025 to 15.5% in Q2 2026, and a franchise fade would remove the cash engine that funds group reinvestment. [6-K]

5. Regulatory and FX Exposure: Sea operates under payments, lending, and e-commerce regulation across Indonesia, Vietnam, Thailand, the Philippines, Malaysia, Singapore, Taiwan, and Brazil. Local currency depreciation flows straight into reported USD results, and lending caps or payments rules can change unit economics quickly. [20-F]

Forward Growth Drivers

- Shopee GMV of $38.3B in Q2 2026, up 28.4%, with gross orders up 27.5% to 4.2B [6-K]
- Monee revenue up 58.9% to $1.4B in Q2 2026 on a loan book of $11.1B [6-K]
- Garena bookings growth sustained at double digits after the 2025 campaign cycle [6-K]
- Group gross margin of 44.7% in FY2025 with operating margin expanding to 8.7% from 1.7% in FY2023 [20-F]

Missing / Modified Data Log

- Q2 2026 TTM gross margin not computed from segment filings; shown as n/a rather than estimated.
- Consensus estimates for Sea are not published in the filings; the scorecard relies on reported figures and the DCF model only.
- Monee segment balance sheet detail beyond loans outstanding and the NPL ratio is not disclosed in the 6-K release.

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